YOSHIMI LABO AUD-TBS003

AUD Task-Based Simulation

Topic: Fraud Risk Considerations (AU-C 240) · Meridian Office Supply, Inc.

Difficulty: Intermediate | Assertions: Occurrence, Cutoff | Standards: AU-C 240 | Rev: 1

📋 Scenario

Read carefully before proceeding to the exhibit and tasks

You are the audit senior on the engagement for Meridian Office Supply, Inc., a privately held wholesale distributor, for the fiscal year ended December 31, Year 2. During planning, you and the engagement team held a brainstorming session regarding the risk of material misstatement due to fraud, as required by AU-C 240.

The CFO, who has significant influence over financial reporting and a compensation package heavily weighted toward bonuses tied to reported pretax income, has been with the company for 11 years. The company's controller resigned unexpectedly six weeks before year-end and has not been replaced; the CFO has been performing the controller's account reconciliation duties in the interim.

Instructions: Review the scenario and exhibit, then work through all 3 tasks.

🗐 Exhibit 1 — Engagement Team Notes: Fraud Risk Factors Identified

Brainstorming session per AU-C 240

#	Observation
1	Company's bank line of credit (renewable each March) requires maintenance of a minimum current ratio of 1.5:1; the ratio was 1.52:1 at 12/31/Year 1.
2	CFO bonus plan pays 2% of pretax income above budget; budget was set aggressively by the Board this year.
3	Controller position vacant since 11/15/Year 2; CFO now performs and reviews own journal entries and account reconciliations with no independent second reviewer.
4	Sales returns and allowances as a % of gross sales: 3.1% (Year 1) vs. 7.8% (Year 2), with the increase concentrated in the last two weeks of December.
5	Company relocated its warehouse to a new, larger facility in August of Year 2 to support anticipated growth.
6	Three new wholesale customers, each granted unusually extended 90-day payment terms (versus standard 30-day terms), accounted for 9% of Q4 revenue.

✏ Tasks

Work through all 3 questions

1 Revenue Recognition Fraud Risk Indicators

Select the THREE observations from Exhibit 1 that represent indicators most directly associated with an elevated risk of fraudulent financial reporting through revenue recognition manipulation (as opposed to general control deficiencies or unrelated business changes).

Select exactly three observations.

- Observation 1 — debt covenant pressure near threshold
- Observation 2 — bonus tied to pretax income with aggressive budget
- Observation 3 — controller vacancy / lack of segregation of duties
- Observation 4 — spike in late-December sales returns
- Observation 5 — warehouse relocation
- Observation 6 — extended payment terms to new customers concentrated in Q4

2 Audit Response to Management Override Risk

Given Observation 3 in Exhibit 1, which response is the most appropriate audit procedure modification under AU-C 240 to address the elevated risk of management override of controls?

A. Increase the extent of analytical procedures only, since override risk cannot be addressed through substantive testing

B. Perform a detailed review of journal entries and adjustments made by the CFO during the period the controller position was vacant, including entries made near period-end, with heightened professional skepticism

C. Rely on the prior year's assessment of internal control over financial reporting, since the CFO has 11 years of tenure and a strong reputation

D. Communicate the deficiency to those charged with governance and take no further audit action until a new controller is hired

3 Incremental Sales Returns Calculation

Using the information in Exhibit 1, calculate the dollar amount of sales returns and allowances recorded in Year 2 that would be considered incremental (i.e., in excess of what would have been expected had the historical Year 1 return rate persisted), if gross sales for Year 2 were $24,000,000.

Enter your answer as a whole number, without dollar signs or commas (e.g., 500000).

Answer: $______________________________